Hotel Market Analysis: Midtown Manhattan and Dubai

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This paper describes the area, demographics, and economy of Midtown Manhattan and Dubai, reviews supply and demand trends in the hotel industry, and analyzes the hotel markets of New York City and Dubai. It then compares the two markets, identifies the forces changing each one, and tests whether each is in equilibrium, with a projection of when equilibrium is likely. Figures are the most recent published as of September 2026. Hotel performance data for New York come mainly from the Office of the New York State Comptroller, NYC Tourism + Conventions, HVS, and PwC, with CoStar used only as a cross-check. Data for Dubai come mainly from the Dubai Department of Economy and Tourism and Dubai Media Office, supplemented by Cavendish Maxwell, JLL, Knight Frank, and STR. Numbered citations [n] refer to the source list at the end, which also notes the STR and CoStar reports available through the Jack Brause Library used to verify flagged figures.

Executive Summary

Neither hotel market is in equilibrium, and they are out of balance in opposite directions. New York is recovering demand into a supply base that regulation has nearly frozen; the projection in Section 7 has it reaching its stabilized occupancy of 87.5% in early 2031, and passing the low end of the City Planning Department's 85% to 90% range in 2028. Dubai ran slightly above its stabilized level of 77.9% in 2025, was pushed into deep oversupply by the regional war that began in February 2026, and returns to equilibrium in mid-2029 as airline capacity is restored.

- New York led U.S. markets in occupancy for a third straight year in 2025 at 84.1%, with ADR of $333.71 and RevPAR of $280.71, yet inflation-adjusted ADR is still about 6% below 2019 and room nights sold are 1.8% below the 2019 peak [1][64].
- New York supply is capped by policy. The 2021 Citywide Hotel Special Permit and the 2024 Safe Hotels Act have cut the pipeline to 5,778 rooms through 2028, under 1% growth a year, and roughly 16,000 rooms used as shelters are the largest swing factor [1][14][19][20].
- Dubai had its best year on record in 2025: 19.59 million international visitors, 80.7% occupancy, ADR of AED 579, and 154,264 rooms, more than New York, Paris, or Singapore [24][28].
- The 2026 war cut Dubai's first-half occupancy to 56.4%, down 24.6 points, with RevPAR down 35.2%. Recovery began in August as Emirates restored about 85% of capacity [38][39].
- The key drivers differ in kind: New York's are regulatory and cost-driven (special permit, shelter rooms, Local Law 18, union wages), while Dubai's are geopolitical and state-led (air access, population growth, D33, regional competition from Saudi Arabia and Abu Dhabi).
- Investment implication: New York favors acquiring existing hotels, which trade below a replacement cost of roughly $875,000 per key [60]; Dubai favors mid-market development timed for delivery after 2028, when demand is projected to overtake supply again.

1. Midtown Manhattan: Area, Demographic, and Economic Description

Area

Midtown Manhattan runs roughly from 34th Street to 59th Street between Third and Eighth Avenues, although many definitions extend it south toward 23rd Street and east and west to the rivers. It contains Times Square, Rockefeller Center, Grand Central Terminal, the Empire State Building, the Chrysler Building, and the United Nations. Most of it falls in Manhattan Community District 5, and zoning is dominated by high-density commercial districts within the Special Midtown District [5].

Midtown is the country's largest office district. The New York City Economic Development Corporation (NYCEDC) reports that the city has 730 million square feet of office space and that 61% of it, or about 445 million square feet, sits in Midtown [4]. It is also the center of the city's hotel industry: NYCEDC puts 58% of the city's hotel rooms in Midtown, and the Midtown West/Times Square submarket alone held about 37,000 rooms in January 2020, including four of the city's five largest hotels [4][5].

Transit access explains much of that concentration. Penn Station handles roughly 600,000 passengers a day across Amtrak, commuter rail, and the subway [13], and the Times Square-42nd Street/Port Authority subway complex was the busiest in the system in 2024 with 57.7 million riders, followed by Grand Central-42nd Street with 33.5 million [13]. Times Square itself drew an average of about 221,000 pedestrians per day in 2025, with a peak near 295,000

on December 13 [11]. Since January 5, 2025, vehicles entering Manhattan at or below 60th Street pay a congestion charge, so all of Midtown sits inside the tolled zone [59].

Demographics

Midtown has a modest resident population and a very large daytime one. The NYU Furman Center counts 122,452 residents in Community District 5 in 2024, with a median household income of $124,240 against a citywide median of $83,970 and a poverty rate of 10.9% against 18.0% citywide [8]. The broader Census area covering Midtown, East Midtown, and Flatiron (Districts 5 and 6) has 202,137 residents, a median age of 37.5, and a median household income of $160,384; 82.2% of adults hold a bachelor's degree or higher. Incomes vary within Midtown: the Times Square ZIP code (10036) has a median household income of $95,638, while the Midtown East ZIP code (10022) reaches $172,026 [9].

The daytime population is far larger. The most recent full estimate, from the NYU Rudin Center, puts Manhattan's daytime population at about 3.94 million, including 1.61 million commuting workers and about 400,000 overnight visitors [10]. Midtown absorbs the largest share of both groups, which is why its hotel demand rests on office workers, business travelers, and tourists at the same time.

Economy

New York City's gross city product was $1.18 trillion in 2023, and the metropolitan area produces about $2 trillion, roughly 9% of U.S. output [4]. Employment has recovered past its pre-pandemic peak. In July 2026 the New York City region had 4,894,900 nonfarm jobs, up 79,200 from a year earlier, and the city's unemployment rate was 4.5% (4.0% in Manhattan) [6]. Leisure and hospitality employed 443,200 people in August 2026 [7].

Midtown's office market is the strongest it has been since before the pandemic. CBRE recorded 19.47 million square feet of Midtown leasing in 2025, the most since 2018, and net absorption of 7.88 million square feet, the highest in nearly 30 years. Availability has fallen to 13.4%, and among the top 50 Midtown buildings it is only 3.7% [12]. At the same time, the December 2024 City of Yes for Housing Opportunity zoning changes and the state's 467-m tax incentive are converting older Midtown office buildings to housing, which adds residents to a district that has had few [66]. This matters for hotels because a fuller office district brings back midweek corporate travel, the weakest part of the post-pandemic recovery.

Tourism is Midtown's other economic engine. Visitors spent $55.6 billion in the city in 2025, including $13.9 billion on lodging, and generated $7.5 billion in tax revenue [3]. Broadway grossed $1.95 billion in 2025, up 15%, on attendance of 14.6 million. Hotels in Times Square averaged about 86% occupancy in 2025, above the Manhattan average [11].

2. Dubai: Area, Demographic, and Economic Description

Area

Dubai is the most populous of the seven emirates of the United Arab Emirates and the country's commercial capital. It stretches along the Arabian Gulf coast from Deira and Bur Dubai, the historic trading districts around Dubai Creek, southwest through Downtown and Business Bay, Dubai Marina, and Palm Jumeirah to Jebel Ali. The Dubai 2040 Urban Master Plan concentrates future growth in five centers: Deira and Bur Dubai, Downtown and Business Bay, Dubai Marina and JBR, Expo City, and Dubai Silicon Oasis. The plan also increases land set aside for hotels and tourism by 134% by 2040 [56].

Aviation anchors the city. Dubai International (DXB) handled 95.2 million passengers in 2025, the most international passengers ever recorded at any airport, with India, Saudi Arabia, and the United Kingdom as its largest markets [43]. Al Maktoum International, a US$35 billion expansion planned to open in 2032, is designed for up to 260 million passengers a year [44]. Within the city, public transport, taxis, and shared mobility carried 802.1 million riders in 2025, including 294.7 million on the Dubai Metro, and a new Metro Blue Line is scheduled for 2029 [45].

Demographics

Dubai's population doubled in under 15 years, from 2 million in 2011 to 4 million in August 2025 [46]. The Dubai Data and Statistics Establishment reports 4.58 million residents at the end of 2025, a 7.5% increase in one year and among the fastest rates in the emirate's history. Peak daytime population, including temporary visitors, reached 6.39 million [47]. The 2040 plan projects 5.8 million residents by 2040 [56].

Expatriates make up roughly 92% of residents, with Indians the largest community, followed by Pakistanis [48]. The city also draws wealth: Henley & Partners counted 81,200 resident millionaires in 2024, up from 72,500 in 2023 [69].

Long-term residence programs such as the golden visa, which the UAE issued 158,000 times in 2023, have turned many former visitors into residents and support demand for business travel, visiting friends and relatives, and high-end hospitality [49].

Economy

Dubai's economy is almost entirely non-oil. Real gross domestic product at constant prices grew 4.7% in the first nine months of 2025 to AED 355 billion (US$96.7 billion). Trade is the largest sector at about 26% of output, followed by financial services (12%), real estate (8%), construction (7%), and accommodation and food services (3.4%) [50]. Preliminary estimates put nominal 2025 GDP, at current prices, at AED 972 billion (US$264.7 billion) and employment at 4.69 million [51]. Real estate transactions reached a record AED 917 billion in 2025, up 20% [53]. Inflation ran just under 3% in 2025, driven by rising rents [54], and the dirham has been pegged at AED 3.6725 per U.S. dollar since 1997 [55].

The Dubai Economic Agenda D33, launched in 2023, aims to double the size of the economy by 2033 and place Dubai among the world's top three tourism hubs [56]. Tourism, aviation, and events are central to that plan: the Dubai World Trade Centre hosted 401 events with 2.97 million participants in 2025 [57].

The regional war that began on February 28, 2026, with U.S. and Israeli strikes on Iran, interrupted this growth. Gulf airspace closures cut air travel for weeks, and Dubai's economy slowed to 2.4% growth in the first quarter of 2026 [52]. The government responded with two relief packages worth AED 2.5 billion in total, which suspended hotel taxes and fees for several months [41][42].

3. Hotel Supply and Demand Trends

How the hotel market clears

A hotel market has a fixed short-run supply of rooms and a demand that changes every night. Three measures describe how the two meet. Occupancy is the share of available rooms sold, so it measures quantity. Average daily rate (ADR) is the price paid per room sold. Revenue per available room (RevPAR) is occupancy times ADR and captures both.

Supply adjusts slowly. A new hotel takes three to six years from site selection to opening, and far longer in a heavily regulated city. Demand adjusts quickly, with travel volumes, business activity, events, and exchange rates. As a result, hotel markets rarely sit at a stable balance. When demand grows faster than supply, occupancy rises until operators push rates, and higher rates eventually attract new construction. When supply outruns demand, occupancy falls, operators discount, and development stops until demand catches up.

For this analysis, a market is in equilibrium when three conditions hold: occupancy is at its long-run stabilized level, supply and demand are growing at about the same rate, and real (inflation-adjusted) ADR is stable. A market above its stabilized occupancy with rising real rates is undersupplied. A market below it with falling real rates is oversupplied. Section 7 tests all three conditions. Because occupancy equals occupied room nights divided by available room nights, each year's occupancy is projected as:

Occupancy (year t) = Occupancy (year t-1) × (1 + demand growth) / (1 + supply growth)

Current trends

Globally, international tourist arrivals rose 4% in 2025 to an estimated 1.52 billion, about 60 million more than in 2024, and tourism export revenue reached a record US$2.2 trillion. The Middle East received close to 100 million visitors, 39% above 2019, the strongest recovery of any region [78]. Supply is following demand into the same places. Lodging Econometrics counts a record global pipeline of 15,922 projects and 2,437,354 rooms at the end of 2025, with luxury and upper-upscale projects both at all-time highs and brand conversions up 13% in a year. The Middle East pipeline of 710 projects and 176,402 rooms grew 15% by projects, the fastest of any region [79]. Saudi Arabia alone recorded 122 million visits in 2025 and plans 362,000 new hotel rooms by 2030, which makes it both a source of Gulf demand and Dubai's most direct competitor for it [75][76].

In the United States, hotel performance weakened in 2025, when national RevPAR declined for the first time since 2020, then recovered in 2026. In August 2026, Tourism Economics and CoStar raised their 2026 U.S. forecast to RevPAR growth of 4.4%, with occupancy of 63.1% and ADR growth of 3.1%. For 2027 they project occupancy of 63.4% and RevPAR growth of 2.1% [18]. Most of that growth comes from rate, not volume, a pattern the World Cup reinforced in 2026: host markets gained far more from higher prices than from additional rooms sold [15]. Occupancy in most major markets remains below 2019 while ADR is above it in nominal terms, because operators have chosen price over volume and high construction costs limit new competition.

The U.S. pipeline shows that restraint. Of 6,146 projects and 720,089 rooms in the pipeline at the end of 2025, only 1,088 projects with 134,380 rooms were under construction, and conversions of existing buildings reached a record 1,497 projects, up 12% in a year. New supply is concentrated in upper-midscale and upscale brands, with luxury a small 95-project record [80]. Transaction cap rates averaged 7.7% in the second quarter of 2026 and 8.2% over the trailing twelve months, with luxury assets and high-barrier markets trading below that level [77]. High land, labor, and financing costs mean developers now favor conversions and acquisitions over ground-up construction in gateway cities.

The demand mix has also shifted. Domestic leisure travel has fully recovered, while international and corporate travel lag. Leisure travel historically makes up about 79% of New York City room demand and business travel about 21%, of which 54% is individual transient business and 46% is group and convention [5]. Currency strength, visa policy, and geopolitics now move international demand more than they did before the pandemic [3][18].

Supply growth has split by market type. High land, labor, and financing costs, and in New York's case zoning, have slowed construction in established gateway cities, while fast-growing destinations, especially in the Gulf, are adding rooms faster than demand may follow. New York and Dubai sit at opposite ends of this split, which makes them a useful comparison.

4. The New York City Hotel Market

Supply

New York City had 127,810 hotel rooms in January 2020 [5]. The pandemic took more than 37,000 rooms offline by October 2020, and about 16,000 rooms were later used as emergency shelters for homeless New Yorkers and asylum seekers. Active supply recovered to an average of 124,000 rooms in 2025, up 1.9% from 121,700 in 2024, across 1,003 hotel establishments [1].

The inventory skews to the upper classes. Using STR's classifications as grouped by the Department of City Planning, the mix in January 2020 was as follows [5]:

Class (STR grouping)	Share of NYC rooms	Share of Manhattan rooms
Luxury	12.5%	64.8% (luxury and upscale combined)
Upscale (incl. upper upscale)	52.2%	
Midscale (incl. upper midscale)	24.4%	26.9%
Economy	10.9%	8.3%

Source: NYC Department of City Planning, NYC Hotel Market Analysis (2020), citing STR [5].

Two city policies now hold supply growth near zero. The Citywide Hotel Special Permit, adopted in December 2021, requires a land-use review for almost every new hotel; the review takes 24 to 30 months, and only a handful of applications have been filed since [19]. The Safe Hotels Act (Local Law 104 of 2024), effective May 2025, requires hotel licenses and direct employment of core staff at hotels with 100 or more rooms [20]. Together these rules raise development and operating costs and make existing hotels more attractive to investors.

The pipeline reflects this. Construction peaked at 15,777 rooms in 2020; the active pipeline is now 24 projects with 5,778 rooms through 2028. About 4,852 rooms are projected to open in 2026, most of them grandfathered projects that began before the special permit. After 2028, HVS expects new supply to be nominal [14]. Tourism Economics projects net supply growth of only 0.9% in 2026 and 2027 and 0.7% in 2028 [1]. The gap between gross openings of about 4% of the base in 2026 and net growth under 1% reflects permanent closures and the conversion of older hotels to housing and shelter; Section 7 uses the net figure and tests the gross figure as a downside.

Shelter rooms are the main swing factor. The city extended its hotel shelter contract with the Hotel Association of New York City to 2029, and HVS estimates that more than 30% of the remaining shelter hotels will close permanently or convert to other uses [14]. Large Midtown returns and losses show the same split: Row NYC reopened its 1,331 rooms in Times Square in May 2026 [22], while the 1,025-room Roosevelt Hotel, closed as a hotel since 2020 and used as the city's migrant arrival center until June 2025, has not reopened [23].

Demand

The city welcomed 65.0 million visitors in 2025, 2.4% below the 2019 record of 66.6 million. Domestic visitors reached 52.4 million, 98.7% of their 2019 level, while international visitors fell 3.2% to 12.5 million, 92.6% of their 2019 level [3]. Canadian visits dropped 26% in 2025 [17]. Business travel, 19% of visitors, remains about 7% below

2019. NYC Tourism + Conventions forecasts 66.3 million visitors in 2026, with domestic travel expected to set a record [3].

By segment, leisure travel has historically made up about 79% of New York's hotel room demand and business travel about 21%; of business visitors, 54% are individual transient travelers and 46% come for groups and conventions [5]. International visitors matter more than their headcount suggests because they stay far longer: before the pandemic, international leisure visitors averaged 7.3 nights in the city against 1.9 for domestic leisure visitors, and 76% of them stayed in hotels [5]. A 3% fall in international arrivals therefore removes more room nights than a 3% fall in domestic arrivals would.

Hotel demand tracks these numbers. Hotels sold 38.1 million room nights in 2025, up 2% from 2024 but still 1.8% below 2019's 38.8 million [1].

Local Law 18, the short-term rental registration law enforced from September 2023, shifted more of this demand into hotels. Short-term rental listings fell from 22,247 in August 2023 to 3,705 by March 2024. A 2025 study in the European Journal of Political Economy estimates the law raised hotel rates by about $14 to $19 per night [21].

Seasonality

New York has one slack quarter and nine strong months. In 2019, occupancy ran 73.2% in January and 78.1% in February, then held between 84% and 92% from March through December, peaking at 91.7% in October; ADR ranged from $204 in January to $356 in September [65]. First-half figures therefore understate the full year, and the 2026 first-half comparison below is also lifted by the World Cup in June.

Performance

Year	Occupancy	ADR	RevPAR
2019	87.5%	$285.00	$249.38
2020	44.1%	$144.00	$63.50
2023	81.6%	$301.22	$246.00
2024	84.2%	$318.73 (a)	$268.62 (a)
2025	84.1%	$333.71	$280.71

Source: Office of the New York State Comptroller, Report 6-2027 (July 2026), citing NYC Tourism + Conventions and STR [1]. (a) 2024 ADR and RevPAR derived from the 2025 figures and OSC's reported 2025 growth rates (ADR +4.7%, RevPAR +4.5%).

New York has led the nation in occupancy for three straight years, and its 2025 revenue per available room (RevPAR) rose 4.5% while national RevPAR fell [1]. Average daily rate (ADR) is 17.2% above 2019 in nominal terms, but not in real terms. The New York area consumer price index averaged 277.6 in 2019 and 345.9 in 2025, a rise of 24.6% [64], so the 2019 ADR of $285 equals about $355 in 2025 dollars:

$285.00 × (345.9 / 277.6) = $355.10, against an actual 2025 ADR of $333.71, or 6.0% lower in real terms

Real ADR is therefore still about 6% below 2019, and occupancy remains about 3.4 points below its 2019 peak.

In Manhattan, PwC reports first-half 2026 occupancy of 80.7%, down 1.7%, with ADR up 6.3% and RevPAR up 4.5%. Luxury hotels grew RevPAR 7.9%, more than double the upper-midscale to upper-upscale segments, and full-service hotels outgrew limited-service ones [16]. The FIFA World Cup in June and July 2026 produced the largest rate gains among the top 25 U.S. markets. HVS estimates the eight match weeks added $339.2 million in rooms revenue, almost entirely through rate rather than occupancy [15].

The Midtown submarket

Midtown holds 58% of the city's rooms [4], so citywide figures largely describe it, but its two halves have diverged. In the first half of 2025 Midtown East posted the largest RevPAR gain of any Manhattan submarket at 10.6% [62]; in the first half of 2026 it reversed, with occupancy down 3.6%, while Midtown West posted the smallest RevPAR gain at 3.9% and Midtown South the largest at 7.1% [16]. Times Square hotels still ran about 86% occupancy in 2025, above the Manhattan average [11]. Submarket-level occupancy and ADR tables from STR and CoStar, available through the Jack Brause Library, are listed in the Sources as the cross-check for these figures.

Taxes and operating costs

A New York hotel night carries the 5.875% city hotel occupancy tax plus a flat $2 per night, 8.875% combined state and city sales tax, and a $1.50 state unit fee, about 14.75% plus $3.50 in total [81]. Average hotel wages rose 24.8% from 2019 to 2025, faster than the 17.2% rise in ADR, and a new eight-year union contract raises wages 50% over its term [1]. These costs, together with the Safe Hotels Act's direct-employment rule, raise break-even occupancy and favor full-service operators with pricing power.

Investment market

Manhattan hotel sales reached $934 million in the first half of 2026, more than double a year earlier [16]. The largest trade, Gencom's purchase of the 253-key Ritz-Carlton New York, Central Park, was valued near $320 million including non-real-estate assets, about $1.26 million per key [61]. JLL estimates Manhattan replacement cost at roughly $875,000 per key [60], so most existing hotels trade below the cost of building them, which is the logic behind acquisition over development while the special permit stands. Nationally, transaction cap rates averaged 7.7% in the second quarter of 2026, with luxury assets and high-barrier markets such as Manhattan trading tighter [77]. The city's own assessment guidelines assume stabilized occupancy of 80% to 90% for upscale and upper-midscale hotels, consistent with the stabilized level used in Section 7 [63].

5. The Dubai Hotel Market

Supply

Dubai had 154,264 hotel rooms in 827 establishments at the end of 2025, according to the Department of Economy and Tourism (DET) [24]. That is more rooms than New York, Paris, or Singapore, and close to London [28]. Supply grew quickly in the run-up to Expo 2020: from 126,120 rooms at the end of 2019 to 146,496 at the end of 2022, a 16% increase. Growth has slowed since, to 150,291 rooms in 2023, 154,016 in 2024, and almost no net change in 2025 [24][25][26][70]. Cavendish Maxwell, which counts on a broader basis that includes hotel apartments, puts inventory at 158,700 rooms across 770 properties after 3,400 rooms were added in 2025 [32]; the DET series is used throughout this paper for consistency.

The market leans to the high end. Knight Frank counted 52,995 five-star rooms in 2024, about 35% of supply [29], and Cavendish Maxwell estimates that upscale, upper-upscale, and luxury hotels make up nearly 70% of inventory, leaving about 30% for the mid-market and budget segments [32]. International brands operate about two-thirds of rooms. Much of the inventory is owned by government-related developers such as Emaar Hospitality, Dubai Holding (Jumeirah), Nakheel, and Wasl, which build to the D33 and 2040 plans rather than to the cycle; this is one reason supply keeps arriving through downturns [56].

The pipeline is moderate relative to the base. Cavendish Maxwell counts 39 hotels with about 9,520 rooms due between 2026 and 2029: roughly 3,150 rooms in 2026, 2,580 in 2027, and 2,470 in 2028, with annual supply growth falling from 2.1% in 2026 to 0.8% by 2029. More than 80% of the 2027 and 2028 deliveries are luxury [30][32]. Knight Frank's broader count of 12,861 pipeline rooms is 47% luxury, 21% upper upscale, and 24% upscale [72]. Larger projects extend further out: Palm Jebel Ali alone plans 80 hotels, with first handovers in 2027 [37], and Therme Dubai, a AED 2 billion wellness resort, opens in 2028 [36]. The world's tallest hotel, the 1,004-room Ciel Dubai Marina, opened in November 2025 [35].

The 2026 war slowed deliveries. JLL reports that no new hotels opened in Dubai in the second quarter of 2026, and several landmark hotels, including the Burj Al Arab, closed for renovation to use the lull [33][34].

Dubai's short-term rental sector is the mirror image of New York's. Where Local Law 18 removed most of New York's listings, Dubai licenses and taxes holiday homes through DET, and the licensed stock passed 22,000 units in 2025, up about 35% in a year, equal to roughly 14% of the hotel room count [71]. These units compete most directly with mid-market hotels and hotel apartments, the segment Dubai has least of.

Demand

Dubai's demand is predominantly international. It welcomed a record 19.59 million international overnight visitors in 2025, up 5% from 18.72 million in 2024 and 17% above the 2019 level of 16.73 million. Western Europe was the largest source region at 21%, followed by the Gulf Cooperation Council, CIS and Eastern Europe, and South Asia at 15% each. Hotels sold 44.85 million room nights in 2025, up 4%, and guests stayed an average of 3.7 nights [24][25][70]. DET does not publish a purpose-of-visit split, but leisure dominates and meetings and events are the second pillar: the Dubai World Trade Centre hosted 2.97 million participants in 2025 [57]. Residents are a third, smaller source that hotels marketed to heavily in 2026.

The war reversed this. Airspace closures and cancelled flights cut visitors to 6.97 million in January through August 2026, about 44% below the same period of 2025. Recovery began over the summer: August 2026 brought 869,000 visitors, the best month since the war began, and Emirates had restored about 85% of its pre-conflict capacity by August [38].

Seasonality

Dubai's season is the reverse of New York's: the peak runs from November to March, and the trough is the summer, when daytime temperatures exceed 40°C. December 2025 occupancy reached 84.3%, the highest December since 2006, with ADR of AED 1,042 on STR's branded-hotel sample, and New Year's Eve ran 94.1% occupancy at an ADR of AED 2,287 [83]. In 2025, first-half occupancy of about 81% fell to 78.5% for January through August, which implies roughly 70% in July and August [39][73]. The August 2026 recovery to 66% occupancy therefore came in the weakest month of the year, which makes it a stronger signal than the headline suggests.

Performance

In 2019, before the pandemic and Expo 2020, Dubai had 741 establishments with 126,120 rooms and sold 32.1 million room nights at an average stay of 3.4 nights [70]. The table shows DET's annual results.

Year	Occupancy	ADR (AED)	ADR (US$)	RevPAR (AED)
2019	75.3%	415	113	312 (a)
2022	72.9%	536	146	391 (a)
2023	77.4%	536	146	415
2024	78.2%	538	146	421
2025	80.7%	579	158	467
H1 2026	56.4%	701 (b)	191 (b)	395 (a)(b)

Sources: Dubai Department of Economy and Tourism annual releases [24][25][26]; H1 2026 from STR as reported by Skift and Cavendish Maxwell [30][39]. US$ at the AED 3.6725 peg. (a) Derived as occupancy times ADR. (b) STR basis, which runs well above DET's because STR samples branded upscale hotels; STR's December 2025 ADR of AED 1,042 against DET's annual AED 579 shows the gap.

In 2025 Dubai had its best year on record: occupancy of 80.7%, ADR up 8%, and RevPAR up 11%. December 2025 was the first month with more than 2 million visitors [24].

The 2026 war produced the sharpest shock since the pandemic. Occupancy fell to 36% in March 2026, with some hotels in single digits, and averaged 56.4% in the first half of the year, down 24.6 points, while RevPAR fell 35.2% [39]. Hotels cut rates and marketed staycations to UAE residents. Mid-market hotels held up better than luxury ones, with occupancy of about 64% to 66% against 51% for luxury [31]. By August 2026, occupancy had recovered to about 66%, or 89% of its August 2025 level [38]. Cavendish Maxwell forecasts full-year 2026 occupancy of 60.4% to 66.2% and ADR of AED 600 to AED 675, with recovery building from the fourth quarter as flights return [30]. Moody's Analytics does not expect pre-conflict conditions before early 2027 [40].

Taxes and fees

A Dubai hotel bill carries a 10% service charge, a 7% municipality fee, 5% VAT, and a Tourism Dirham of AED 7 to AED 20 per room per night depending on star rating [82], about 22% plus the fee, against roughly 14.75% plus $3.50 in New York. The 2026 relief packages suspended the municipality fee and Tourism Dirham for several months, which lowered break-even occupancy during the downturn [41][42].

Investment market

Hotel trading is thinner and more local than in New York, dominated by family offices and government-related entities. The largest 2026 trade was AHS Properties' purchase of the Shangri-La on Sheikh Zayed Road for AED 1.1 billion in June 2026, up from AED 700.2 million when it last sold in 2020 [74]; on its roughly 300 hotel rooms and 126 serviced apartments that is approximately AED 2.6 million (US$700,000) per key. Local brokers quote stabilized hotel yields of roughly 6% to 8% [84], broadly in line with U.S. transaction cap rates, but with the oversupply of 2026 investors have shifted from development to acquiring and repositioning existing assets.

6. Comparing the Two Markets

Side by side

Measure (2025)	New York City	Dubai
Hotel rooms	124,000 active	154,264
Visitors	65.0 million (81% domestic)	19.59 million international
Room nights sold	38.1 million	44.85 million
Occupancy	84.1%	80.7%
ADR	$333.71	AED 579 ($158)
RevPAR	$280.71	AED 467 ($127)
Luxury and upscale share of rooms	about 65%	about 70%
Short-term rentals	3,705 listings after Local Law 18	more than 22,000 licensed holiday homes
Taxes and fees on a room night	about 14.75% plus $3.50	about 22% plus AED 7 to 20
Supply growth, next three years	about 0.8% a year	about 1.7% a year
2026 occupancy trend	Manhattan H1: 80.7%, down 1.7%	H1: 56.4%, down 24.6 points

Sources: OSC Report 6-2027 [1]; NYC Tourism + Conventions [3]; Department of City Planning [5]; PwC [16]; Local Law 18 study [21]; Dubai DET [24]; Cavendish Maxwell [30][32]; STR via Skift [39]; holiday homes [71]; tax schedules [81][82]. US$ at the AED 3.6725 peg.

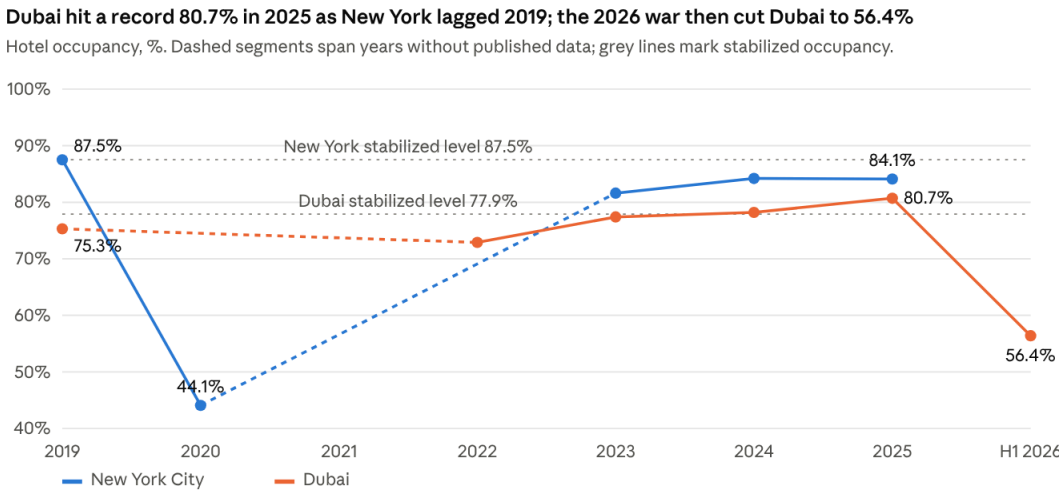


Figure 1. Hotel occupancy in New York City and Dubai. New York citywide data for 2021, 2022, and the first half of 2026 have not been published in the sources used. Sources: OSC Report 6-2027 [1]; Dubai DET [24][25][26][70]; STR via Skift [39].

Similarities

Both are global gateway cities whose hotel markets outperform their regions. New York has led U.S. markets in occupancy for three straight years, and Dubai posted record occupancy in 2025. Both depend on air access, both earn a large share of revenue from luxury and upper-upscale hotels, which make up roughly two-thirds of rooms in each, and both grew RevPAR in 2025 mainly through rate rather than volume. Each also uses major events to fill rooms: the World Cup and U.S. Open in New York, and Gitex, the Dubai Airshow, and a heavy conference calendar in Dubai. Each faces a fast-growing regional rival for the same visitors: Saudi Arabia and Abu Dhabi in Dubai's case, and other U.S. gateway cities competing for a shrinking pool of international arrivals in New York's.

Differences

The biggest difference is how each city treats new supply. New York restricts it. The 2021 special permit and the Safe Hotels Act make building and operating a hotel slow and expensive, so supply will grow less than 1% a year and almost stop after 2028. Dubai promotes it. The D33 agenda and the 2040 master plan expand land for hotels by 134%, and a pipeline of about 9,500 rooms through 2029 comes on top of island projects planning 160 more hotels.

Their demand bases also differ. About 81% of New York's visitors are domestic, which cushions the city when international travel falls; the 3.2% drop in international visitors in 2025 barely moved occupancy. Dubai's hotel guests are predominantly international, and most arrive by air through one hub. That concentration drove its growth before 2026 and made it far more exposed when airspace closed: Dubai's first-half 2026 occupancy fell 24.6 points while Abu Dhabi's, supported by domestic and events demand, fell 13.5 points [39].

Price and length of stay separate them too. New York's ADR is more than twice Dubai's, reflecting scarce land, high labor costs, and constrained supply. Dubai's larger inventory and competitive pricing let it fill more room nights with fewer visitors, because each visitor stays an average of 3.7 nights, whereas New York's dominant domestic leisure visitors stay about two [5][24]. Dubai also taxes a room night more heavily, about 22% against 14.75%, and competes with a growing licensed holiday-home sector that New York has largely regulated away.

Key drivers of change

In New York, five forces are changing the market:

1. Regulation of supply. The special permit and Safe Hotels Act have cut the pipeline from 15,777 rooms under construction in 2020 to 5,778 through 2028 [14][19][20]. Scarce new supply has made existing hotels more valuable, and Manhattan hotel sales in the first half of 2026 reached $934 million, more than double a year earlier [16].
2. Shelter rooms. About 16,000 rooms have served as shelters, and the city extended its hotel shelter contract to 2029. How many return as hotels, and when, is the largest supply uncertainty [1][14].
3. Local Law 18. Removing most short-term rentals pushed that demand into hotels and raised rates [21].
4. The demand mix and its infrastructure. Domestic leisure demand has recovered, but international visitors (down 26% from Canada in 2025) and business travelers remain below 2019 [3][17]. A recovering Midtown office market supports a return of weekday corporate travel [12]. The $19 billion JFK redevelopment, whose New Terminal One opened in 2026, expands international capacity [68]; congestion pricing since January 2025 changes how visitors reach Midtown [59]; and the three downstate casino licenses awarded in December 2025 all went to Queens and the Bronx, so the Times Square and Hudson Yards casino proposals that would have been major Midtown demand generators are gone [67].
5. Costs. Average hotel wages rose 24.8% from 2019 to 2025, faster than the 17.2% rise in ADR, and a new eight-year union contract raises wages 50% over its term [1].

In Dubai, the drivers are:

1. Geopolitics and air access. The 2026 war showed how much demand depends on open airspace. Recovery now tracks the restoration of airline capacity [38][39].
2. Population and wealth growth. A 7.5% jump in residents in 2025, golden visas, and inflows of wealthy migrants support business travel, visiting friends and relatives, and high-end demand [47][49][69].
3. State-led supply and attractions. D33, the 2040 plan, Al Maktoum International, Therme Dubai, and Palm Jebel Ali keep adding capacity and demand generators at the same time, and government-related developers build through the cycle [36][37][44][56].
4. Events and visa policy. A deep events calendar and easier visas, such as 90-day visa-free entry for Chinese visitors since 2025, broaden the source-market base [57][58].
5. Public support. Relief packages worth AED 2.5 billion suspended hotel taxes and fees during the downturn, which lowered the break-even occupancy for operators [41][42].
6. Regional competition and alternative supply. Saudi Arabia recorded 122 million visits in 2025 and plans 362,000 new hotel rooms by 2030 [75][76], Abu Dhabi proved more resilient in 2026 [39], and Dubai's own licensed holiday homes grew about 35% in a year [71]. All three compete for the mid-market and Gulf leisure demand Dubai needs to fill its pipeline.

7. Is Each Market in Equilibrium?

Section 3 defined equilibrium as the point where occupancy sits at its long-run stabilized level, supply and demand grow at about the same rate, and real ADR is stable. Both projections below use the same formula, in which each year's occupancy equals the prior year's occupancy multiplied by (1 + demand growth) and divided by (1 + supply growth).

Checking the data

The reported figures reconcile, so room nights can be projected as demand and rooms as supply. In New York, 124,000 rooms × 365 nights = 45.3 million available room nights; 38.1 million sold gives 84.2% occupancy, against the 84.1% reported [1]. In Dubai, the average of 154,016 and 154,264 rooms × 365 = 56.3 million available room nights; 44.85 million sold gives 79.7%, against DET's reported 80.7% [24]. The one-point gap reflects rooms out of service for renovation and DET's sample of reporting establishments, and it does not change the direction of either projection.

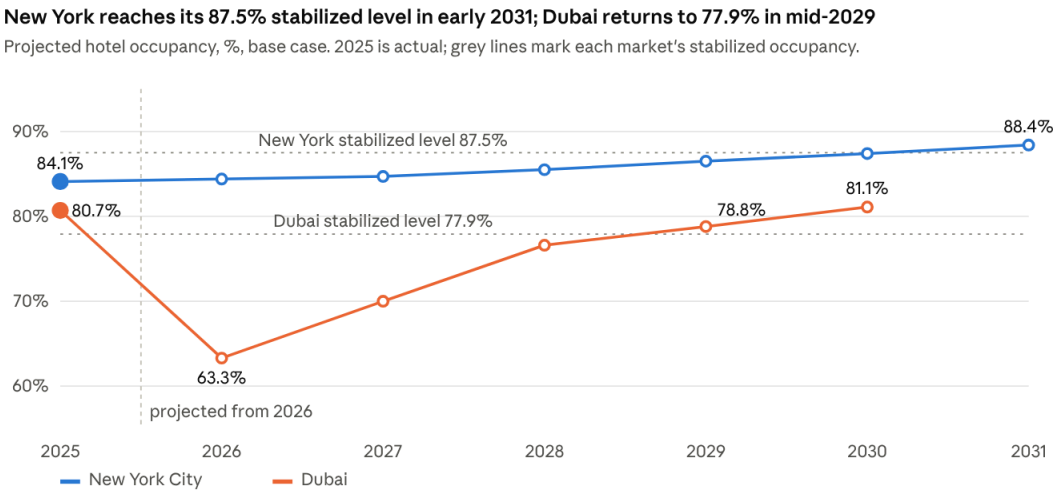


Figure 2. Projected occupancy against each market's stabilized level. Source: calculations from the assumptions and tables in this section.

New York City: not in equilibrium

New York is not in equilibrium. Occupancy of 84.1% in 2025 is still 3.4 points below its stabilized level, room nights sold remain 1.8% below 2019, and inflation-adjusted ADR is about 6% below its 2019 level. At the same time, supply is nearly frozen by regulation. The market is still recovering its demand, mostly from international and business travelers, into a supply base that cannot expand much. As that demand returns, the market will move toward equilibrium and then risk tipping into undersupply.

Stabilized occupancy: 87.5%, the 2019 level. This is not a cyclical peak: occupancy averaged 87.6% over 2015 to 2019 (87.6%, 86.9%, 87.6%, 88.3%, 87.5%) [65], it falls within the 85% to 90% range the Department of City Planning cites for the pre-pandemic market [5], it is just below HVS's projected 88.7% for Manhattan in 2029 [14], and the city's assessment guidelines assume 80% to 90% for upscale and upper-midscale hotels [63].

Assumptions. For 2026 through 2028, demand and supply growth follow the Tourism Economics forecast published by the State Comptroller [1]. From 2029, demand grows 1.4% a year, the 2026 to 2028 average, and supply grows 0.3% a year, reflecting HVS's expectation of nominal new supply after 2028 [14].

Year	Demand growth	Supply growth	Projected occupancy
2025 (actual)			84.1%
2026	1.2%	0.9%	84.4%
2027	1.3%	0.9%	84.7%
2028	1.7%	0.7%	85.5%
2029	1.4%	0.3%	86.5%
2030	1.4%	0.3%	87.4%
2031	1.4%	0.3%	88.4%

Source: calculations from OSC Report 6-2027 [1] and HVS [14].

The number of years needed from 2028 can also be solved directly:

n = ln(87.5 / 85.5) / ln(1.014 / 1.003) = 0.0231 / 0.0109 = 2.1 years

The rate test gives the same answer. Real ADR is about 6% below 2019 (Section 4), so the third condition also fails: the market has pricing recovery left. Once occupancy passes about 86%, which the base case places in 2029, operators should be able to raise real rates, and after 2031 the market tips into undersupply with rate growth above inflation, because no supply response is possible while the special permit stands. Occupancy above roughly 90% is not achievable citywide, so beyond that point the market clears through rate rather than volume.

Scenario	Key assumption	Equilibrium reached
Base	Tourism Economics forecast to 2028; demand +1.4% and supply +0.3% a year after	Early 2031
Upside	International and business travel recover faster: demand +2.0% a year from 2027	2029
Downside A	5,000 shelter rooms (about 4% of supply) reopen as hotels in 2029; occupancy falls to 83.1% that year	2034
Downside B	All 4,852 rooms opening in 2026 are net additions (supply +3.9% in 2026) rather than offset by closures	2033

Source: calculations from the assumptions above.

Conclusion: New York reaches equilibrium around the end of 2030 or early 2031. The main risk to that date is the return of shelter rooms: if 5,000 of them reopened as hotels in 2029, equilibrium would slip to about 2034. A faster return of international visitors would bring it forward to 2029.

Dubai: not in equilibrium

Dubai is not in equilibrium either, but for the opposite reason. Before the war, the market was running slightly above its stabilized level, with 80.7% occupancy and ADR up 8% in 2025, a sign of a tight market. The 2026 war then cut demand by about a fifth for the year while supply kept growing, leaving the market heavily oversupplied: occupancy of 56.4% in the first half and discounted rates.

Stabilized occupancy: 77.9%, the average of DET's annual occupancy in 2019, 2023, 2024, and 2025 (75.3%, 77.4%, 78.2%, 80.7%), the years not distorted by the pandemic or Expo.

Assumptions. Supply follows Cavendish Maxwell's delivery schedule for 2026 to 2028, then 0.8% a year [30]. Demand for 2026 is set by Cavendish Maxwell's forecast midpoint of 63.3% occupancy, which implies a demand index of 80 against 2025. That index is back-solved from the occupancy forecast rather than from visitor counts: visitors fell 44% through August, but room nights fell less because residents took staycations, remaining guests stayed longer, and the fourth quarter is the peak season. Demand closes half the gap back to its 2025 level in 2027 and fully recovers in 2028, consistent with forecasts that pre-conflict conditions will not return before early 2027 [40]. From 2029, demand grows 3.7% a year, the 2023 to 2025 trend in room nights sold.

Year	Rooms	Demand (2025 = 100)	Projected occupancy
2025 (actual)	154,264	100.0	80.7%
2026	157,414	80.0	63.3%
2027	159,994	90.0	70.0%
2028	162,464	100.0	76.6%
2029	163,764	103.7	78.8%
2030	165,074	107.6	81.1%

Source: calculations from DET [24] and Cavendish Maxwell [30].

Occupancy for each year equals 80.7% × (demand index / supply index). For 2029, that is 80.7% × (1.037 / 1.062) = 78.8%. Interpolating between 76.6% in 2028 and 78.8% in 2029, the market crosses 77.9% around the middle of 2029.

The rate test agrees. In 2025 ADR rose 8% against inflation of under 3%, about 5% in real terms, which marks a tight market. For 2026 Cavendish Maxwell forecasts ADR of AED 600 to AED 675 against about AED 745 on its own basis in 2025, a nominal cut of 10% to 20%, so real ADR is falling, which marks oversupply [30][73].

Scenario	Key assumption	Equilibrium reached
Base	Demand index 80, 90, 100 in 2026 to 2028, then +3.7% a year; Cavendish Maxwell supply schedule, then +0.8% a year	Mid-2029
Upside	Lasting peace and full airline capacity: demand fully recovers in 2027, then +3.7% a year	End of 2027
Downside	Renewed conflict delays the recovery by one year (index 80, 80, 90, 100 for 2026 to 2029)	2030
Supply acceleration	Palm Jebel Ali and other island hotels bring supply growth to 2.0% a year from 2029	2029, and the market stays near balance instead of tightening again

Source: calculations from the assumptions above.

Conclusion: Dubai returns to equilibrium in mid-2029. Because demand growth after recovery (3.7%) is much faster than supply growth (0.8%), the market would move above its stabilized level again by 2030, repeating the tight conditions of 2025 unless more of the planned island hotels are accelerated. The date depends almost entirely on geopolitics and air access. A lasting peace and full airline capacity would bring it forward to the end of 2027, while a renewed conflict would push it back to 2030.

8. Conclusion and Investment Implications

Neither market is in equilibrium. New York is undersupplied in the making: demand is still recovering, supply is frozen by the special permit and the Safe Hotels Act, and the market reaches its stabilized occupancy of 87.5% in early 2031 before tipping into real rate growth above inflation. Dubai is oversupplied for now: the 2026 war cut demand by about a fifth while supply kept growing, and the market returns to its stabilized 77.9% in mid-2029, then risks tightening again because state-led demand growth outruns a pipeline that thins after 2028.

For investors and developers, the two markets call for opposite strategies. In New York, the opportunity is acquisition rather than development. Existing full-service and luxury hotels trade below a replacement cost of about $875,000 per key, new competition is blocked for the rest of the decade, and the only meaningful new supply is grandfathered projects and the return of shelter rooms. The main risks are policy risks: a change to the special permit, a faster return of shelter hotels, or a further fall in international and Canadian visitation. In Dubai, the opportunity is timing and segment. More than 80% of 2027 and 2028 deliveries are luxury, the segment that fell hardest in 2026, while mid-market hotels held occupancy best and make up only about 30% of supply. A mid-market or upscale project delivering in 2028 or 2029 would open as the market crosses back through equilibrium. The main risks are geopolitical: a renewed closure of Gulf airspace, and competition from Saudi Arabia's 362,000-room build-out and from Dubai's own licensed holiday homes.

The single largest uncertainty in each projection is the same kind of shock. For New York it is a supply shock, the reopening of up to 16,000 shelter rooms, which could delay equilibrium by three years. For Dubai it is a demand shock, a return of the conflict, which could delay it by one.

Sources

Library database cross-checks. The following reports are available through NYU's Jack Brause Library and should be pulled to verify the flagged figures before submission:

- STR Trend Report, New York City and the Midtown West and Midtown East submarkets, 2019 to 2026 year to date: verify the performance table in Section 4 and the Midtown submarket paragraph.
- CoStar Hospitality, New York market and submarket snapshot (supply, pipeline by phase, trailing 12-month occupancy and ADR): cross-check the 5,778-room pipeline and the 124,000 active rooms.
- STR Trend Report, Dubai, 2019 to 2026 year to date: reconcile STR ADR with DET ADR in the Dubai performance table.
- CoStar or Lodging Econometrics pipeline report for Dubai: verify the Cavendish Maxwell delivery schedule of 9,520 rooms.
- MSCI Real Capital Analytics, hotel transactions in Manhattan and Dubai (volume, price per key, cap rates): replace the single-deal figures in the investment paragraphs.

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